


What is a "standard" problem:

• Single-Crossing is true (Spence-Mirrlees condition)
Increasing differences

• IR's are not type dependent

$$v(q_i, \theta_i) - t(q_i) \geq 0 \quad \text{for all types}$$



Price is the same

IC of "High" Type binds

IR of "Low" Type binds

Focus on this
for Midteam
&
Final

Example: Type-dependent IR constraints.

Insurer (monopolist) Facing two types of consumers $\{H, L\}$

H-type consumers have a probability of suffering a damage D
with prob. π_H

L-type with prob π_L

$$\pi_H > \pi_L$$

$$EU[\text{insurance contract for type H}] \geq \pi_H U(w-D) + (1-\pi_H) U(w) = U(CE_H)$$

$$EU[\text{insurance contract for type L}] \geq \pi_L U(w-D) + (1-\pi_L) U(w) = U(CE_L)$$